

While ETNs are exchange traded, just as ETFs are, one is a *note* and the other is a *fund*. The easiest way to sum up the difference is that an ETN gives the investor a digital note that promises the investor will get paid depending on the asset's performance, while an ETF actually holds the assets and thereby tracks its value on the market.

In technical terms, ETNs are senior unsecured debt instruments that track a market index or benchmark. An ETN provides investors with exposure to an asset without the issuers of the ETN having to own the assets. Since an ETN is a debt instrument, investors are then subject to the credit quality of the issuer. If the issuer goes bankrupt, then investors in the ETN may get only a fraction of what they invested in the ETN, whereas with an ETF the fund holds the underlying assets. Therefore, investors in an ETN must have faith in the issuer's ability to continue to operate, as well as the issuer's ability to track an index without necessarily owning the basket of assets that make up the index.

Issuers of ETNs are usually a bank or financial firm that backs the instrument with its credibility and serves to quell concerns regarding the financial strength of the issuer. Morgan Stanley was the initial issuer of this type of security, and Barclays is also a frequent issuer, both well-diversified international banks with solid ratings. However, as we learned from the crisis of 2008, recognizing and evaluating the underwriting firm is critical, and not always so easy to do.²¹ As a debt instrument, the health and well-being of the